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Case Number: 26NNCV01868 Hearing Date: July 15, 2026 Dept: T

Janik

Tsaturyan vs. Tesla Motors, Inc., a Delaware Corporation

Motion

for Attorney's Fees and Costs

Moving Party: Plaintiff

Janik Tsaturyan

Responding Party: Defendant Tesla Motors, Inc.

Tentative Ruling: Grant

in part

BACKGROUND

On March 13, 2026, Plaintiff Janik Tsaturyan ("Plaintiff") filed a complaint against Defendant Tesla Motors, Inc. ("Defendant"), alleging various causes of action under the Song-Beverly Consumer Warranty Act.

On June 11, 2026, Plaintiff filed a notice of settlement in which Plaintiff informed the Court of the conditional settlement of the entire case and stated that a request for dismissal will be filed no later than August 7, 2026.

Plaintiff

now moves to recover reasonable attorney's fees, costs, and expenses in the

total amount of \$16,024.74.

Defendant

opposes. No reply was filed.

MOVING PARTY POSITION

Plaintiff argues that he is entitled

to recover his reasonable attorney's fees and costs as the prevailing buyer in the action under Civil Code section 1794(d).

Plaintiff argues that the lodestar method should be applied in assessing the reasonableness of his counsel's fees.

In applying the lodestar method, his counsel's fees are reasonable because the hourly rates charged by attorneys Raffi Sarukhanyan and Sarkis Terterian are consistent with other attorneys litigating consumer matters in this area of law. Plaintiff also argues that he is entitled to recover the fees and costs incurred in preparing the instant motion.

Plaintiff finally argues that he is entitled to recover reasonable costs and litigation expenses under Section 1794(d).

In sum, Plaintiff requests that the Court grant the motion and award \$16,024.74 in total fees and costs, which are comprised of the following amounts: (1) \$11,460.00 in attorney's fees; (2) \$564.74 in recoverable costs and expenses; and (3) \$4,000.00 in anticipated fees for the instant motion.

OPPOSITION

Defendant contends that Plaintiff's fee

demand is unreasonable based on the prevailing rate for noncontingent work in the community of lemon law litigation and given the relative lack of complexity in this practice area. The hourly rates

sought by counsel are not anchored to market reality, and the cited Laffey Matrix rates are inapplicable to lemon law litigation in California. Defendant further contends that its counsel's rate is the superior market evidence for noncontingent work and that recent court and arbitration decisions corroborate this lower market rate.

Defendant also contends that Plaintiff's

counsel's total hours of work warrant reduction due to excessive or improper billing entries, including but not limited to the following proposed reductions:

(1) 1.5 hours from hours of work attributed to preparation of a demand letter based on a template, amounting to \$750.00; (2) 1.4 hours from hours of work attributed to complaint and supporting document preparation, amounting to \$700.00; (3) 3.7 total hours of improperly billed clerical work by Plaintiff's counsel and his paralegal before the contractual cut-off date, amounting to \$630.50; (4) 7.95 total hours of work billed after the contractual cut-off date, amounting to \$3,445.00; and (5) the entire \$4,000.00 amount in anticipated fee motion fees sought by Plaintiff.

Defendant does not contest any of the costs.

REPLY

No
reply was filed.

ANALYSIS

I. Legal
Standard

Civil Code section 1794(d) provides that a buyer who prevails in an action under that section, "shall be allowed by the court to recover as a part of the judgment a sum equal to the aggregate amount of costs and expenses, including attorney's fees based on actual time expended, determined by the court to have been reasonably incurred by the buyer in connection with the commencement and the prosecution of such action."

II. Discussion

A.
Entitlement
to Attorneys' Fees

At the outset, the Court notes that no order or judgment of dismissal has been entered in this action. "[A] dismissal or judgment in favor of the

party seeking fees is a predicate to a fee award.” (Hatlevig v. General Motors LLC (2026) 118 Cal.App.5th 644, 650; see, also, Berti v. Santa Barbara Beach Properties (2006) 145 Cal.App.4th 70, 75 [“It is well settled that statutory costs and attorney fees are incident to the judgment.”].)

However, the parties do not dispute that a conditional settlement was reached, or that the settlement provided for Plaintiff’s recovery of attorney’s fees and costs. Moreover, because the term “judgment” as used in Civil Code section 1794(d) embraces final dispositions “recognized in other contexts as tantamount or equivalent to a judgment for purposes of Code of Civil Procedure section 998 and/or for allowing the trial court to determine the prevailing party and to award costs and fees under fee-shifting statutes,” the undisputed existence of the settlement provides the necessary predicate for the determination of the prevailing buyer and for the award of reasonable fees and costs.

(Wohlgemuth v. Caterpillar Inc. (2012) 207 Cal.App.4th 1252, 1263; see, e.g., Goodstein v. Bank of San Pedro (1994) 27 Cal.App.4th 899, 907 [reasoning that “a compromise agreement contemplating payment by defendant and dismissal of the action by plaintiff is the legal equivalent of a judgment in plaintiff’s favor”].)

Thus, the Court finds that Plaintiff is the prevailing party and is entitled to reasonable attorney’s fees and costs pursuant to Civil Code section 1794(d), subject to the contractually agreed upon limitations set forth in the express terms of the settlement agreement. Therefore, Plaintiff’s motion is proper.

B. Reasonableness of Fee Amount

Plaintiff seeks to recover \$15,460.00 in attorney’s fees.

“[A]bsent circumstances rendering the award unjust, an attorney fee award should ordinarily include compensation for all the hours reasonably spent, including those relating solely to the fee. We explained that the purpose behind statutory fee authorizations—i.e., encouraging attorneys to act as private attorneys general and to vindicate important rights affecting the public interest—will often be frustrated, sometimes nullified, if awards are diluted or dissipated by lengthy, uncompensated proceedings to fix or defend a rightful fee claim.” (Ketchum v. Moses (2001) 24 Cal.4th

1122, 1133-1124, emphasis in original.)

“The fee setting inquiry in California ordinarily begins with the ‘lodestar,’ i.e., the number of hours reasonably expended multiplied by the reasonable hourly rate. ... The lodestar figure may then be adjusted, based on consideration of factors specific to the case, in order to fix the fee at the fair market value for the legal services provided.” (Id. at p. 1134.)

Therefore, the Court will consider the reasonableness of the \$15,460.00 fee amount sought by Plaintiff through application of the “lodestar” method.

1.

Reasonableness
of Hourly Rate

In applying the lodestar method, the Court begins by determining the ‘reasonable hourly rate,’ i.e., the rate ‘prevailing in the community for similar work.’” (Marshall v. Webster (2020) 54 Cal.App.5th 275, 285 [quoting PLCM Group, Inc. v. Drexler (2000) 22 Cal.4th 1084, 1095].) Under the general rule, the “relevant ‘community’ is that where the court is located.” (Marshall, supra, 54 Cal.App.5th at p. 285 [quoting Altavion, Inc. v. Konica Minolta Systems Laboratory, Inc. (2014) 226 Cal.App.4th 26, 71].)

Here, Plaintiff’s counsel, attorneys Raffi Sarukhanyan and Sarkis Terterian of Sarukhanyan Law, APC, provided legal services on contingency for

Plaintiff in the instant action at billable rates of \$500.00 and \$300.00 per hour, respectively. (Sarukhanyan Decl. ¶¶ 1, 30–32; id. ¶ 32, Exh. A (“Billing Records”); Terterian Decl. ¶¶ 1, 30–32.) In support of their respective rates, attorneys Sarukhanyan and Terterian described their experience and background in this area of consumer protection law. (Sarukhanyan Decl. ¶¶ 28-30; Terterian Decl. ¶¶ 28-30.) In addition, the attorneys cited the Laffey Matrix as an example of the reasonableness of these rates. (Ibid.)

Although Defendant contends that these rates are not commensurate with the market and the noncontingent rates charged by other attorneys in the area of lemon law litigation, including its counsel’s noncontingent rate and the market rates set forth in the exhibited court and arbitration decisions, the Court finds that, based on the evidence and given the contingent nature of the litigation, counsel’s hourly rates of \$500.00 and \$300.00 are reasonable and commensurate with rates charged by attorneys with

comparable skills and experience in their community of practice.

Thus, the Court

finds these hourly rates to be reasonable.

2.

Reasonableness

of Hours Expended

Padding “in the form of inefficient or

duplicative efforts is not subject to compensation.” (Premier Medical Management Systems, Inc.

v. California Insurance Guarantee Association (2008) 163 Cal.App.4th 550,

556.) However, parties opposing motions

for attorneys’ fees fail to establish an abuse of discretion where they merely

contend that amounts of attorneys’ fees are excessive without providing an

analysis or factual support. (Maughan

v. Google Technology, Inc. (2006) 143 Cal.App.4th 1242, 1250; Avikian v.

Wtc Fin. Corp. (2002) 98 Cal.App.4th 1108, 1119; see, also, Premier

Medical, supra, 163 Cal.App.4th at p. 560 [emphasizing that opposing

parties “submitted no evidence that the hours claimed by counsel were

excessive,” and declining to “declare as a matter of law that the hours were

unreasonable”]; see, e.g., Villanueva v. City of Colton (2008) 160

Cal.App.4th 1188, 1204 [opposing party “offered no evidence of any kind which

might have warranted a reduced fee award.”].)

As an initial matter, the Court finds that the

attorney’s fees sought by Plaintiff for work conducted by his counsel after the

settlement agreement was executed by the parties on May 22, 2026, are not

recoverable. Under the express terms of

the agreement, Defendant agreed to provide, in relevant part, the following

consideration to Plaintiff:

Tesla

shall pay Releasing Parties’ attorneys’ fees, costs, and expenses to date

that have been reasonably incurred in an amount to be determined by the Court,

by way of a single noticed motion, unless the Parties can agree on the amount

of fees to be paid absent such a motion. For purposes of such motion only,

Tesla agrees that Releasing Parties are the prevailing parties. Any Party may

disclose the financial terms of this Settlement to the Court in connection with

the motion for attorneys’ fees.

(Hooper Decl. ¶ 12, Exh. F, at p. 2 of 6.) Under these terms, Defendant is only obligated to pay Plaintiff's attorneys' fees, costs, and expenses that were accrued to date, which reflects the mutual intention of the parties to contractually limit the amount of recoverable attorneys' fees to only those fees accrued on or before May 22, 2026. (Wohlgemuth, supra, 207 Cal.App.4th at p. 1263, fn. 10 ["Of course, parties are free to expressly waive attorney fees and costs as part of a compromise agreement."]; Civ. Code § 1636 ["A contract must be so interpreted as to give effect to the mutual intention of the parties as it existed at the time of contracting, so far as the same is ascertainable and lawful."]; id. § 1641 ["The whole of a contract is to be taken together, so as to give effect to every part, if reasonably practicable, each clause helping to interpret the other."].) Thus, the Court strikes in their entirety the billed and anticipated hours of work accrued after May 22, 2026, resulting in a total reduction of \$7,445.00. (See Billing Records; Mot., at p. 8.)

As

to the remaining categories of billed time challenged by Defendant in its opposition, including entries that fall within these categories and others not specified therein that are facially unreasonable, the Court finds that counsel's and their office manager's billed clerical work was not reasonably incurred and thereby strikes these fees, resulting in a total reduction of \$645.00. (See Billing Records) The Court further finds that the exhibited similarities between the templated versions of the complaint and demand letter evidence an excessiveness in the time attributed by counsel for their preparation and thus warrant a reasonable reduction of 2 hours from the total time attributed by attorney Sarukhanyan to their preparation, resulting in a total reduction of \$1,000.00.

(Ibid.) The Court also finds that the hours attributed by Terterian to his settlement emails are facially excessive and not reasonably incurred, thus warranting a reasonable reduction of \$240.00 based on 0.8 hours. (Ibid.)

The Court otherwise finds that Plaintiff's counsel's billing entries reflect hours of work that were reasonably expended.

Thus, the request for attorneys' fees is granted in the reduced amount of \$6,130.00.

C. Costs and
Expenses

Plaintiff seeks

to recover \$564.74 in costs and expenses.

As Defendant does not challenge any of the costs

and expenses sought by Plaintiff, the Court shall award the specified costs and expenses in Plaintiff's memorandum of costs in full.

Thus, the request

for costs and expenses is granted in the amount of \$564.74.

RULING

Plaintiff Janik

Tsaturyan's Motion for Attorneys' Fees and Costs is

GRANTED IN PART in the amounts of \$6,130.00

in reduced attorney's fees and \$564.74 in recoverable costs and expenses, totaling \$6,694.74.